Research evolution - PepsiCo

Oladapo Olaniyan | FIN-43900 Project 1 | Edition B and explanatory record, October 17, 2026

Preserved Edition A and reported resolution

Brightspace receipt 22599005 records the September 1, 2026, 2:30 PM submission. The receipt-linked attachment contains an Edge error page. Its original bytes are preserved as supporting-evidence/Edition-A-original-submitted.pdf and embedded in this PDF; its page is reproduced at the end. SHA256: f745e7ea27a1445830573029a77d28967a1e4f5e53a9ba9a794079373f35464f.

Oladapo reports that the TA said the copy is acceptable as long as the information is the same. The clarification was documented locally October 17; the earlier conversation's date is unspecified. No written TA approval or recovered report content is claimed.

A separate preexisting draft is preserved unchanged as supporting-evidence/Edition-A-preexisting-draft.md. It contains incomplete numerical text and an attestation whose history is not independently verified here. It is supporting evidence, not relabeled as the original submitted PDF. The comparison below explicitly uses that draft where indicated.

Edition A supporting draft to Edition B

Topic	Supporting preexisting draft	Edition B and reason
Action	States Watch-Defer	Oladapo again states watch/defer in Videos 1 and 3; no action change is claimed
Dates and evidence	References FY2024 and September 1 valuation context; several financial numbers are incomplete	FY2025 filing ledger, June/July interim bridge/share dates and October 5 market reference; facts and assumptions separated
Engine	Describes an FCFF/enterprise-to-equity valuation contract	Executed five-year linked statements drive FCFF/WACC, with scenario, sensitivity and bridge checks
Risk and decision conditions	Calls for margin of safety or volume stabilization	Recorded margin/cash recovery, reviewed current-date bridge, downside funding and price conditions support continued deferral

This comparison does not assert that the draft matches the submitted PDF's missing report content, repair its damaged numbers, or certify the original tool-use history.

Consequential development and attribution

Course requirements drove the linked-statement FCFF architecture. AI-assisted code and source review rebuilt earlier lab mechanics, replacing an FCFE/stale-price path rather than renaming it. Unsupported company stress claims from prior work were rejected. Earlier model outputs used mechanical terminal FCFF growth; the correction funds growth with terminal NOPAT times g/ROIC. Base value changed from $130.67 to $117.29 in the preserved working versions. This was a model-design correction, not an invented recollection of a student decision.

AI-output check: capex

An AI implication of a mismatch between segment and consolidated capital spending was corrected using the saved FY2025 primary-source reconciliation: segment $4.192B plus corporate $0.223B equals consolidated $4.415B. Segment-only spending would understate investment and overstate cash available to investors. The locator was corrected to Note 1, page 68. Independent source arithmetic, rather than another AI answer, supports that disposition.

Separate test and final interpretation

The frozen ROIC test changed only terminal incremental ROIC from 15% to 12%. More reinvestment at the same growth lowers terminal FCFF and value. Base value fell $117.29 to $111.41 ($5.88 / 5.02%), consistent with the recorded prediction. AI assistance is disclosed under Oladapo's report of the professor's classroom clarification. The model's unchanged action field is a fixed label rather than a tested threshold rule.

Oladapo's recorded recommendation is watch/defer. The recordings support monitoring revenue, margin, cash conversion, debt and payouts, with a reviewed bridge and improved margin/cash evidence or a defensible price margin of safety as reconsideration conditions. They do not establish blanket acceptance of all proposed assumptions or the earlier AI-proposed $93.84 entry threshold.

Recording clarification and retained limitations

Video 1 shows earlier pages saying guidance is unresolved and completed checks are not run. Those pages predate this clarified evidence package. Exact page snapshots and the unchanged recording are preserved. Current ordinary checks are 42 PASS / 0 FAIL / 5 OPEN / 2 QUALIFIED, and the separate ROIC test has its own frozen record.

The current-date bridge, working-capital difference, peer comparability, stub seasonality and long-run ROIC remain qualified. Lab 10 credits Kenechukwu Ogbuefi with challenging SG&A efficiency gains despite worsening history; Oladapo confirmed the discussion October 18. Earlier omission of this evidence is corrected in peer-challenge-correction-20261018.md. Old ratios use gross profit; current SG&A ratios use revenue. The current disposition qualifies efficiency gains and retains adverse-margin stress; no historical causation is invented. Detailed evidence, source locators, reported staff clarification and the complete recording index accompany the repository package. The original error-page attachment follows as a preserved visual page; the byte-identical original file is separately included.